

EQUITY RESEARCH · COMPANY DEEP DIVE

Cisco Systems, Inc. (CSCO.US)

Technology · Communication Equipment

Large Cap (>\$200B) · Report Date: August 31, 2026

Latest financials: Q3 FY2025 · Model data as of 2026-08-31

BUY

Composite · Valuation: BUY

Target \$138.94 · +25.2% upside

Price \$111.01

INVESTMENT HIGHLIGHTS

- **BUY** — blended target \$138.94 (+25.2% vs \$111.01); DCF 32% + Comps 53% + Analyst 15% valuation after outlier checks.
- Strong revenue growth; high operating margins; strong roe; positive fcf generation
- Strong top-line growth (17.6% YoY)

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	BUY	Blended PT \$138.94	45%
FSA	Strong	Health +0.35 · Strong	20%
Technical	BULLISH	Bullish	20%
Quantitative	POSITIVE	Score +0.40 · 12m +64%	15%
Composite	BUY	Score +0.65 · 100% confluence	—

Valuation + technical aligned bullish; solid financial statement profile.

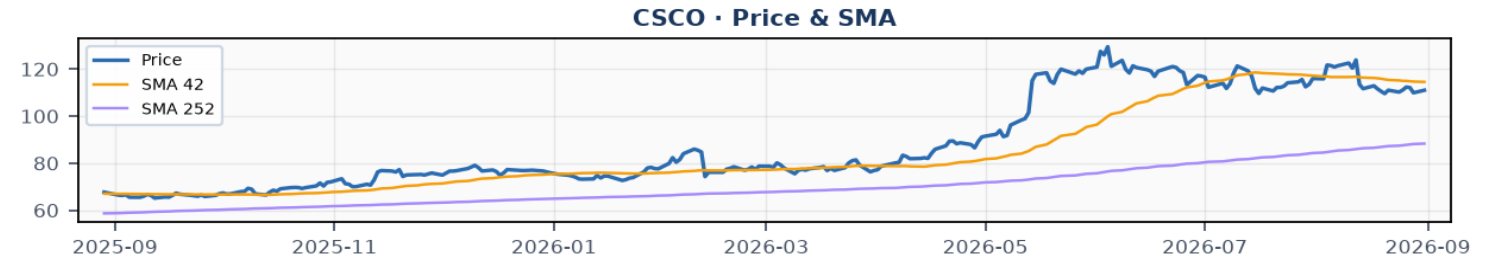
INVESTMENT THESIS / EXECUTIVE SUMMARY

Cisco Systems, Inc. (CSCO) — Technology. Cisco Systems, Inc. designs, develops, and sells technologies that help to power, secure, and draw insights from the internet in the Americas, Europe, the... **BUY** rating; blended target \$138.94. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$437.54B	Shares Out.	3941.4M
52-Week Range	\$66.13 – \$130.37	P/E (TTM)	33.3x
P/B	8.7x	Beta	1.00
Avg Volume	22.80M	Analyst Rec.	Buy
Revenue (TTM)	\$63.32B	Rev Growth	+17.6%
Op. Margin	27.7%	FCF (TTM)	\$13.29B
Gross Margin	64.6%	ROE	27.3%
EV/EBITDA	24.0x	Debt/Equity	58.7%
EPS (TTM)	\$3.33	Div Yield	1.5%

PRICE TREND · SMA 42 / 252



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	53,803	56,654	66,625	75,333	82,790
Revenue Growth (%)	N/A	5.3%	17.6%	13.1%	9.9%
Net Income (\$M)	10,320	10,180	11,972	13,536	14,876
Gross Margin (%)	64.7%	64.9%	64.6%	64.6%	64.6%
Net Margin (%)	19.2%	18.0%	18.0%	18.0%	18.0%
EPS (\$)	2.62	2.58	3.04	3.43	3.77
P/E (x)	42.40	42.98	36.55	32.32	29.41

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$114.56	Short-term trend	12m Momentum	+64.0%	
SMA (252d)	\$88.32	Long-term trend	3m Momentum	-12.9%	
RSI (14d)	33.2	Momentum oscillator	Ann. Volatility	25.8%	
Trend	Bullish		Sharpe Ratio	0.50	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-36.7%	
Death Cross (20d)	No		Rel. Strength vs SPY	+34.6%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=\$114.56, SMA252=\$88.32	Quant Score	+0.40	POSITIVE
			SMA Backtest (ann.)	22.9%	B&H; 28.9%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	\$81.75	-26.4%	32%	Included in blend
Comps — Blended	\$173.82	+56.6%	53%	Included in blend
Analyst consensus	\$137.74	+24.1%	15%	Included in blend
Blended target	\$138.94	+25.2%	100%	DCF 32% + Comps 53% + Analyst 15%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
9.51%	4.00%	8.80%	\$322.19B	\$81.75	-26.4%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
ANET	Arista Networks, Inc.	\$247.48B	61.9x	50.2x	38.4%	+37.7%
MSI	Motorola Solutions, In	\$80.36B	38.3x	23.8x	17.4%	+13.3%
JNPR	JNPR	N/A	N/A	N/A	N/A	N/A
CIEN	Ciena Corporation	\$53.73B	127.0x	68.7x	7.9%	+39.5%
CSCO*	Cisco Systems, Inc.	\$437.54B	33.3x	24.0x	21.0%	+17.6%

* Subject company. Trades at a discount on p/e vs peers; stronger profitability than peers. Trends: Strong top-line growth (17.6% YoY); High operating leverage (27.7% margin); Sector: Technology | Industry: Communication Equipment · Risks: Standard sector cyclicality and macro exposure Strong revenue growth; high operating margins; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.